

Endowment Bias Test

Question 1: Assume that your dearly departed Aunt Sally has bequeathed to you 100 shares of IBM. Your financial advisor tells you that you are too “tech heavy” and recommends that you sell Aunt Sally’s shares. What is your most likely course of action?

- a. I will likely hold the IBM shares because Aunt Sally bequeathed them to me.
- b. I will likely listen to my financial advisor and sell the shares.

Question 2: Assume that you have purchased a high-quality municipal bond for your portfolio. It has been providing income for you, and you are happy with it. Your financial advisor analyzes your bond holdings and recommends switching to a corporate bond, of comparable quality, with which you are unfamiliar. Your advisor explains that, after taxes and fees, the corporate bond can be expected to provide a slightly better return than your current municipal bond. What is your most likely response?

- a. I will stick with the municipal bond because I am familiar with it.
- b. I will sell the municipal bond and purchase the corporate bond, even though I am unfamiliar with the corporate bond.

Question 3: Assume that you purchased 100 shares of GE in a self-directed account and paid a commission on the transaction. Shortly following the purchase, you realize that you momentarily overlooked another 100 shares of GE that you already owned in another account. Now, the redundant holdings are causing an imbalance in your overall portfolio. What is your reaction to this situation?

- a. Since I paid a commission and I like GE’s stock, I will keep the GE even though it may cause an imbalance in my overall portfolio.
- b. I am not comfortable with imbalance in my portfolio. I will sell the GE, even though this means that I will have paid two unnecessary commissions.

Test Results Analysis

Question 1: A reluctance to unload Aunt Sally’s IBM shares can signal susceptibility to endowment bias.

Question 2: People who decide that they might likely hold on to the municipal bond, due to familiarity with it, are likelier to exhibit